

Introduction to Small Business Management

Lesson Plan

- What is a SME
- Criteria use to define SMEs
- Characteristics of a small business
- Micro business vs. small business
- Trends
- Limitations faced by SMEs
- Government role in developing SMEs



SMEs



- **What do you mean by a SME?**
- **Is it another way of doing business?**

Do you Know?

- In Sri Lanka, Small and Medium sector Enterprises account for more than 90 percent of the aggregate number of ventures in the nation, contribute 70 percent of the GDP and 45 percent of the aggregate work
- Compared to India, Pakistan and Singapore, the SME contribution to the GDP (70%) is high in Sri Lanka.

Outlook of SME in worldwide

- In emerging economies formal Small and Medium Enterprises (SMEs) contribute up to 60% of total employment and 40% of GDP and these numbers are significantly high when informal SMEs are included (World Bank, 2015).
- According to the World Bank group study, there are an estimated three hundred sixty five to four hundred forty-five (365-445) million Micro, Small and Medium sized Enterprises (MSMEs) in emerging markets: twenty five to thirty (25-30) million formal SMEs, fifty five to seventy (55-70) million formal micro enterprises, and two hundred eighty five to three hundred forty five (285-345) million informal enterprises. Converting informal SMEs into formal SME category can have considerable advantages

SME-Specific Definition???

General definition for small businesses

Independently governing privately owned business which generates less turnover with less number of workers.

Definition

- No commonly accepted definition.
- Use following criteria.

invested capital

no: of workers

annual turnover

production capacity

level of independence of mgt:

energy consumption

balance sheet information

Definition

- Different organizations use these criteria differently
- Even the same criterion can be differently used by different people.
- The legal definition of "small" varies by country and by industry.

Institution	Criterion	Small	Medium
Sri Lanka Standards Institution (SLSI)	No. of employees	From 50 to 249	Less than 50
Industrial Development Board of Ceylon (IDB)	Value of machinery	Size of the capital investment in plant and machinery does not exceed USD 42,000/- and total number of employees does not exceed 50 persons.	
Ministry of Small and Rural Industries	Total investment	From Rs. 20 million	From Rs. 1 million
		Up to Rs. 50 million	Up to Rs. 20 million
Ceylon National Chamber of Industries (CNCI)	i. Value of assets other than land and buildings	From Rs. 4 million	Less than Rs. 4 million
		Up to Rs. 20 million	Less than 10
	ii. No. of employees	From 10 Up to 50	
Department of Small Industries (DSI)	Capital investments and number of employees	Capital investment less than USD52,500/- and fewer than 50 employees are classified as SMEs	
National Policy Framework for Small Medium Enterprise (SME) Development -2015	Annual Turnover and number of employees	Manufacturing sector – Annual Turnover 16Mn-250Mn and number of employees 11-50.	Manufacturing sector – Annual Turnover 251Mn-750Mn and number of employees 51-300.
		Service sector – Annual Turnover 16Mn-250Mn and number of employees 11-50.	Service sector – Annual Turnover 251Mn-750Mn and number of employees 51-200.
		If enterprise falls under more than one category mentioned above, number of employees is considered to be deciding factor.	
Central Bank of Sri Lanka	Annual Turnover	Annual turnover not exceeding Rs. 750Mn will be considered as SMEs. This definition is in line with the definition of Department of Industry and Commerce in its National Policy Framework for SME Development	

Definition

- In Sri Lanka different institutions were use different definitions to express SME
- Some definitions were based on the size of the capital, number of employees, nature of the business and sector.
- Also there are different terms used in different documents as Small Medium Industries or Enterprises, MSME, Micro Enterprises, Rural Enterprises, Small and Medium activities, Cottage or small Scale Industries and etc

Definition

According to the survey conducted by Department of Census and Statistics in 2013/14 (2015) on SME sector, turnover, value of assets and number of persons engaged were identified as key variables in defining SMEs and further described the number of persons engaged in SME groups according to the major economic sector

Major Economic Sector	SME Groups	Criteria (Number of Persons Engaged)
Industry and Construction	Micro	1 to 4
	Small	5 to 24
	Medium	25 to 199
	Large	200 and above
Trade	Micro	1 to 3
	Small	4 to 14
	Medium	15 to 34
	Large	35 and above
Services	Micro	1 to 4
	Small	5 to 15
	Medium	16 to 74
	Large	75 and above

Definition

According to the survey conducted by Department of Census and Statistics,(2015), seventy one thousand one hundred and twenty six (71,126) establishments are small scale and ten thousand four hundred and five (10,405) are medium scale out of total establishments of one million nineteen thousand six hundred and eighty one (1,019,681)

	Number of Establishments				Number of Persons Engaged			
	Total	Industry %	Trade %	Services %	Total	Industry %	Trade %	Services %
Total	1,019,681 (100%)	25.6	41.1	33.4	3,003,119 (100%)	40.6	25.6	33.8
Micro	935,736 (100%)	25.3	42.0	32.7	1,338,064 (100%)	27.1	39.1	33.8
Small	71,126 (100%)	28.8	31.3	39.9	529,248 (100%)	32.3	24.4	43.4
Medium	10,405 (100%)	32.0	19.6	48.4	387,859 (100%)	52.5	11.1	36.4
Large	2,414 (100%)	31.6	36.9	31.5	747,948 (100%)	64.6	9.8	25.7

Definition

- National Policy Framework for SME Development in 2015 formulated by Ministry of Industry and Commerce (2015) has defined SME as Enterprises having employees less than three hundred (300) and annual turnover not exceeding Rupees Seven hundred and fifty (750) million.
- Further, the same policy has categorized Micro Enterprises as those engaging less than ten (10) employees and annual turnover below Rupees fifteen (15) million.

Characteristics of a small business

- Invested capital is low
- Low asset value
- Less number of workers
- Low production capacity
- Low sales turnover
- One or few owners
- Independent management
- Less energy consumption
- Balance sheet figures are low

Some examples



Some examples in Sri Lankan Context!

- Victor Hettigoda – Hettigoda Industries
- Janet Balasooriya – Janet Group of companies
- Lorance Perera – Transe Made Group of companies
- Ordhiris Perera – Ordhiris Engineering Company
- Mallika Hemachandra - Mallika Hemachandra Jewelers (Pvt) Ltd
- Daya Gamage – Daya Group of companies
- Sunil Ratnayaka – Teleview (Pvt) Ltd



What is a micro business?

How it differs from a small business?

Micro business

- Belongs to small business category.
- Starts with a minimum capital and less no: of workers.
- Sometimes workers are the owner and his family members.

Small Business Trends:

1. The Recession Drives Small Business Innovations:

- **Innovation will create new opportunities for many small businesses**

Economic stress leads to a wave of SMEs innovation.

How to Improve productivity & Increase customer value

- 1. Re-evaluate,**
- 2. Re-design and**
- 3. Refine**

[products, processes and business models]

2. Government Plays an Increasing Role in the Economy

One village-One Crop & Agro Exporting Zones

Gamata Karmantha, Gamidiriya....

- Govt. around the world will take a more active role
 - global financial crisis, soaring oil prices, high cost of production etc.
- Promote domestic industries – increased price of dairy products, sugar
- Government tax policies.

3. Increase in global Infrastructure Spend

- **Opportunities for new contracts.**
- **Indirectly providing goods and services to larger firms.**

Electricity, water, bridges and roads, alternative energy sources, transportation, clean tech, education etc.

4. Increasing passion towards Small Businesses

- With high job losses & limited traditional employment opportunities
- many will turn to self-employment and small businesses.

5. Less Small Business Globalization

Small business globalization is still important.

- Primarily

Small businesses focus on local markets

Limitations face by the SME sector

What are limitations?



- **Closely related factors which badly affect the performance of the business and threaten the survival of the business.**

Limitations



- Failure rate
- Limited sources to fund the business.
- Limited to small market.
- Can't face the competition of the large firms.
- Outdated technology.
- Unnecessary interferences of the family members.
- Lack of training and experience.

Contd.....



- Lack of infrastructure.
- Lack of government policies.
- Global competition.
- Competition from low quality imports.
- International agreements.
- Politically motivated trade unions.
- Strict labor rules.
- Lack of information.
- High inflation.

Why small businesses fail?



- **Unbalanced experience**
- **Lack of concern(ignorance)**
- **Unsuitable organizational structure**
- **Bad money control**
- **Bad stock control**
- **Lack of concentration for product development**
- **Unnecessary expenses to maintain self status**

Cntd.....

- Unplanned debts
- Misinterpretation of revenue as profits
- Not used to a monthly income
- Non availability of up to date technology
- Unnecessary interferences of family members
- Not learning from past experiences

Cntd.....

- Copying the neighbor
- Not being market oriented
- Not concerning the globalization effect
- Unavailability of a business plan



Professionalism in business

- **Why?????**

Cntd.....

- Separation of business life from the personal life(Business and owner)
- Getting a monthly salary
- Getting the advices of professionals
- Having goals and objectives for the business



Cntd.....

- Learning from the experience and external environment
- System of business values
- Sensitivity towards the business environment, grabbing the opportunities, doing innovations

Role of the Public Sector

Role of the Public Sector

- What is the role of public sector?
- Are they need to involve in open economic activities?

Characteristics of SMEs and Rationale for Public Support

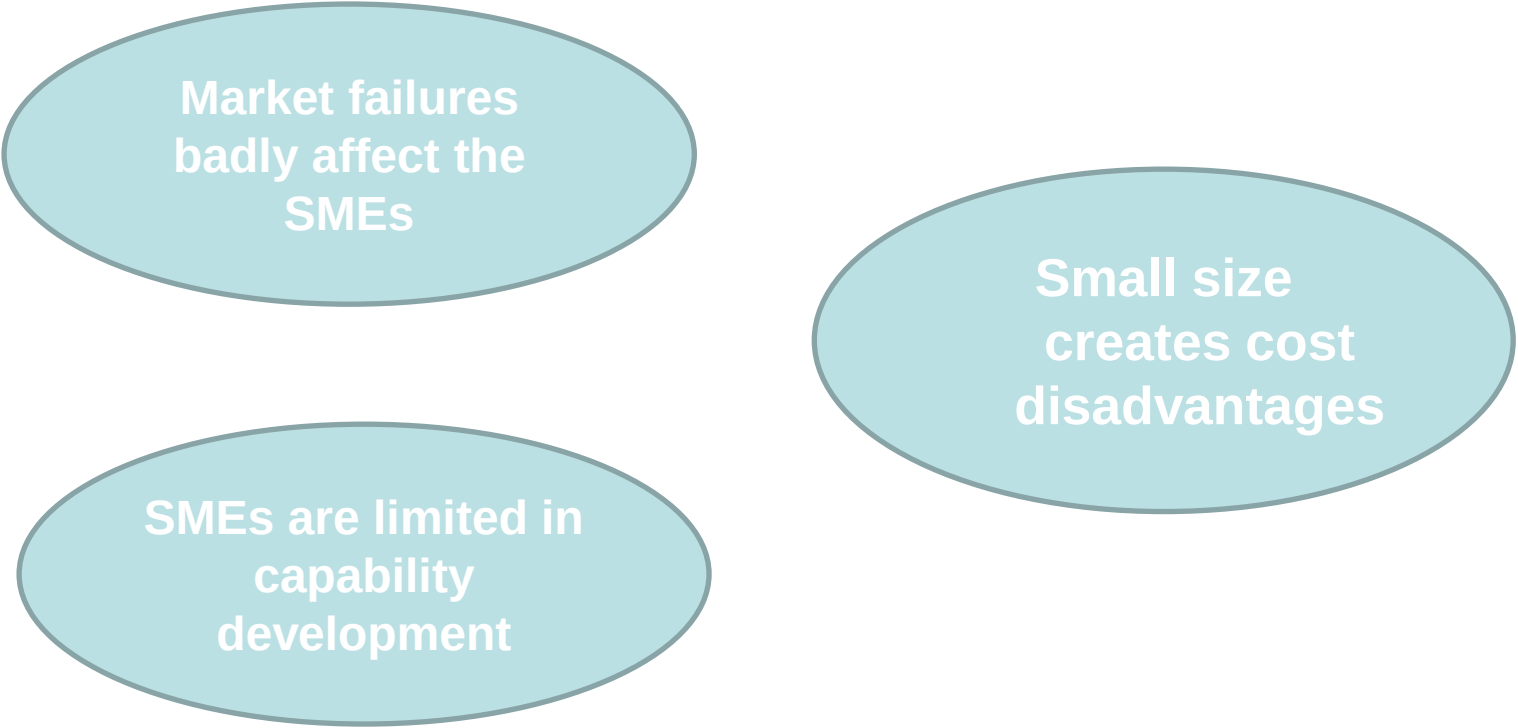
Small size

Widely Dispersed

Limited resources

- Lack of economies of scale and high cost of information
- Lack of collective voice and influence on policies
- Limited in management capability

Rational for public support for SMEs



Market failures
badly affect the
SMEs

Small size
creates cost
disadvantages

SMEs are limited in
capability
development

Market failures.....

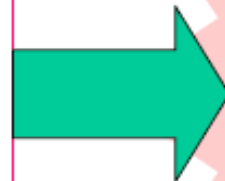
- Lack of information about financial opportunities.
- Imperfect competition in credit market.
- That limits the SMEs access to the credit market.

Contd.....

- Lack of funds for R&D and training.
- Limited knowledge about finance handling.
- Under investment in technology and other important areas.

Small Size Creates Cost Disadvantages for SMEs

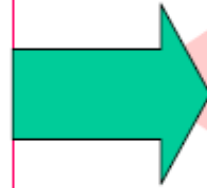
- SMEs do not have the same capacity to influence the environment in their favor as larger firms
- Regulations impose disproportional costs on SMEs
- Private institutional agreements are more costly to SMEs due to their lack of economies of scale



- ***Raise SMEs' transaction costs***
- ***Limit SMEs' ability to take advantage of economic opportunities***

SMEs are Limited in Capability Development

- Because of their small size, SMEs usually lack management capacity
- SMEs cannot afford costly support services (e.g., financial, human resources, legal, training)
- Ability to access and analyze information is particularly weak for SMEs
- SMEs often “don’t know what they don’t know”, and their absorptive capacity is poor



- ***Impacts negatively on SME's productivity***
- ***Hampers their ability to achieve their business objective***

Public support

Public Support Needed in

Regulatory
Environment

Objectives

- Address market failures to open market access
- Improve transaction efficiency and reduce risk
- Reduce fixed cost

Access to
Finance

- Increase competitive pressure in financial markets
- Reduce risks and transaction costs
- Strengthen financial institutions' capacity to serve small clients

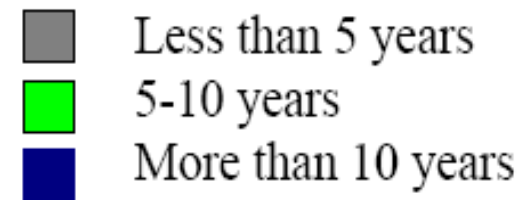
Business
Development
Services

- Provide market support structure to help build SME competitiveness
- Foster markets for services fit for and demanded by SMEs
- Develop low-cost service “products” and delivery mechanisms needed by SMEs

Some characteristics of Sri Lankan SMEs

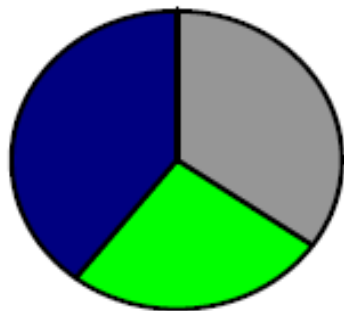


Age of Business



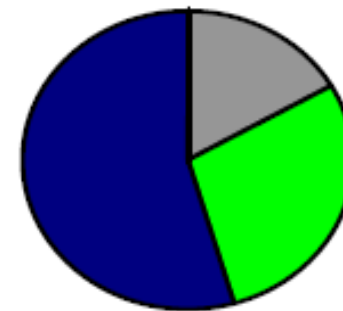
Enterprise Type:

Small



Medium

Small & Medium



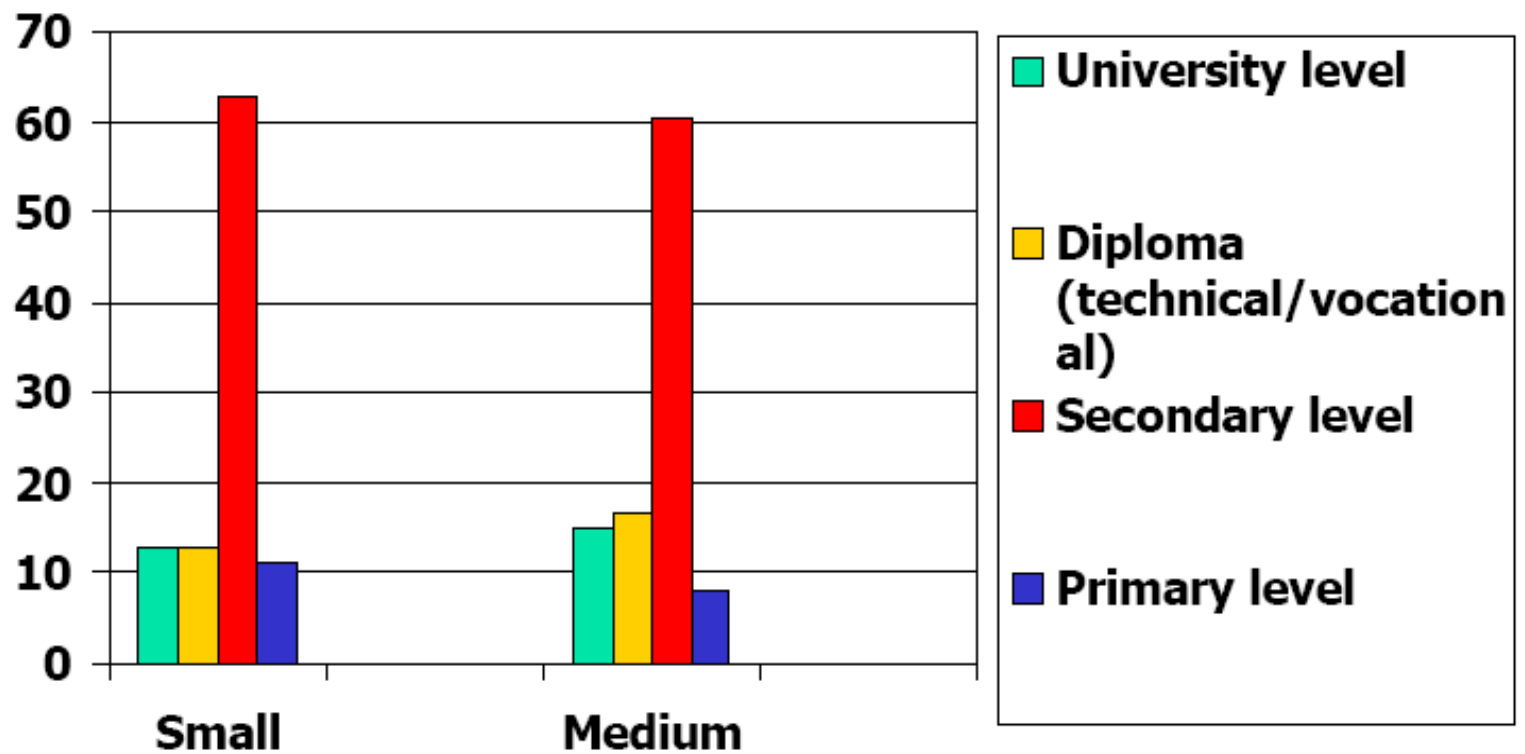


Business Ownership

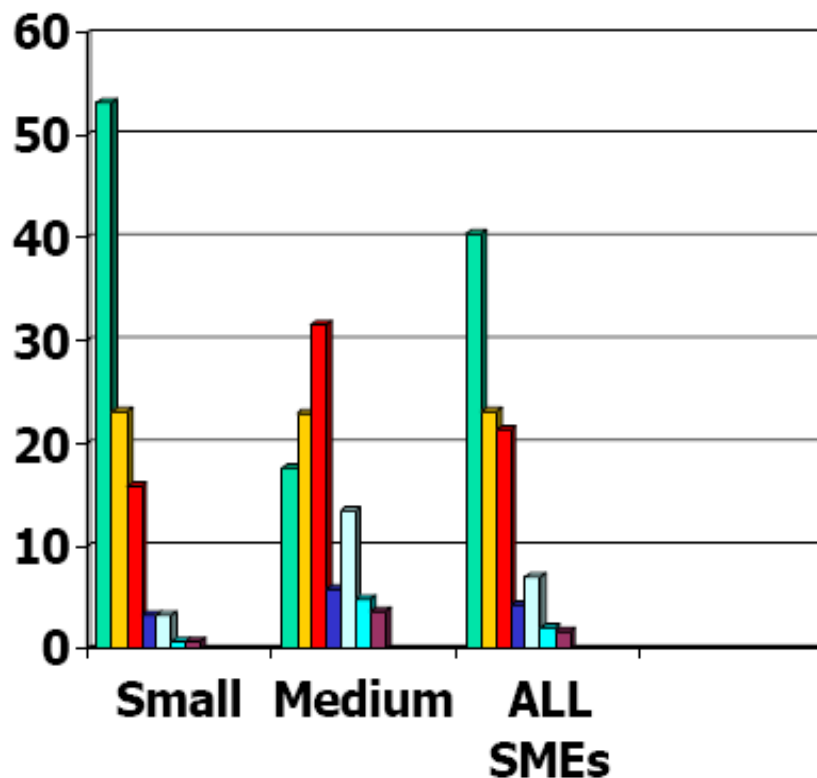
Enterprise Type:
Small Medium Small & Medium



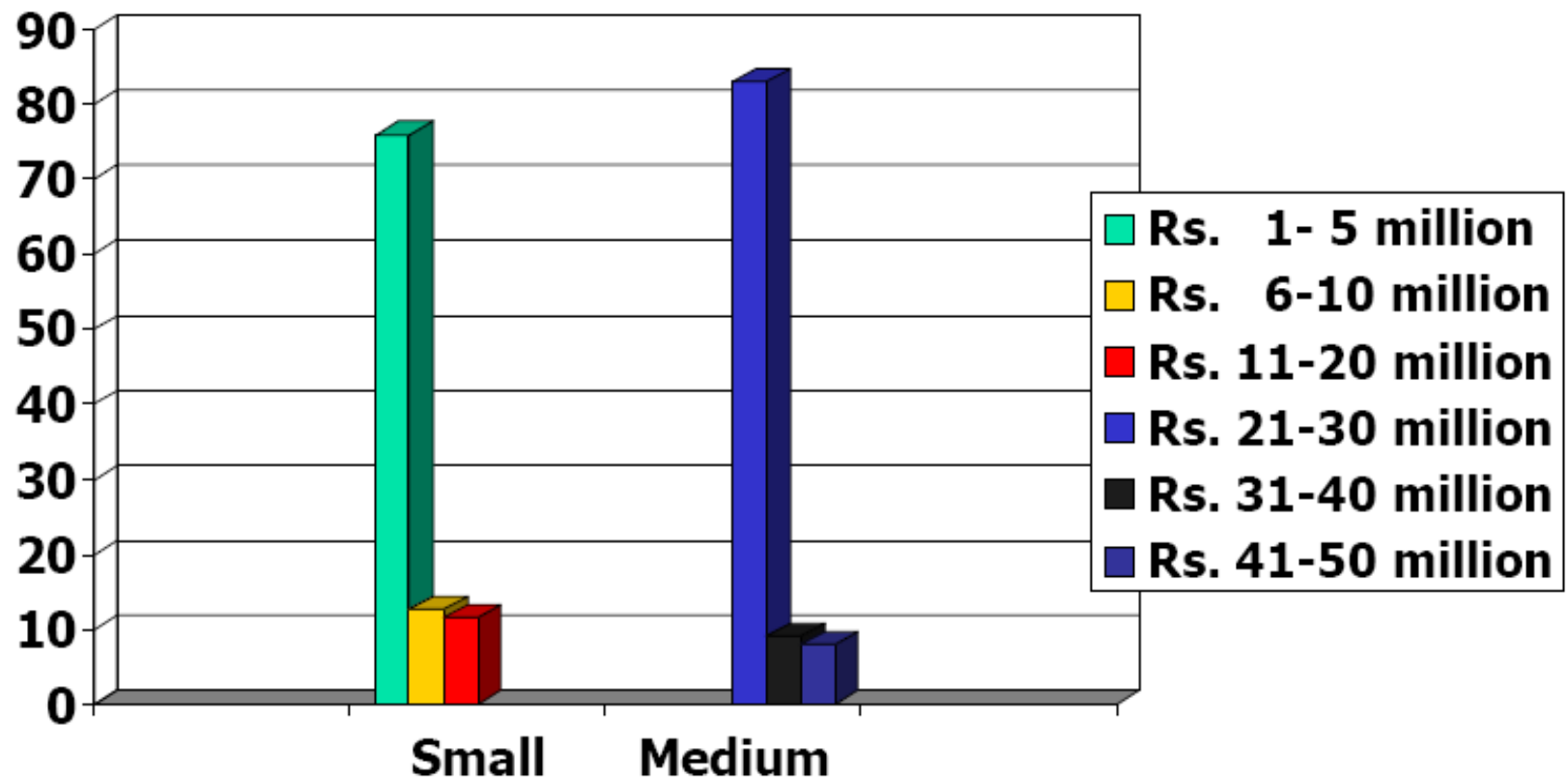
SME Management Profile (Education)



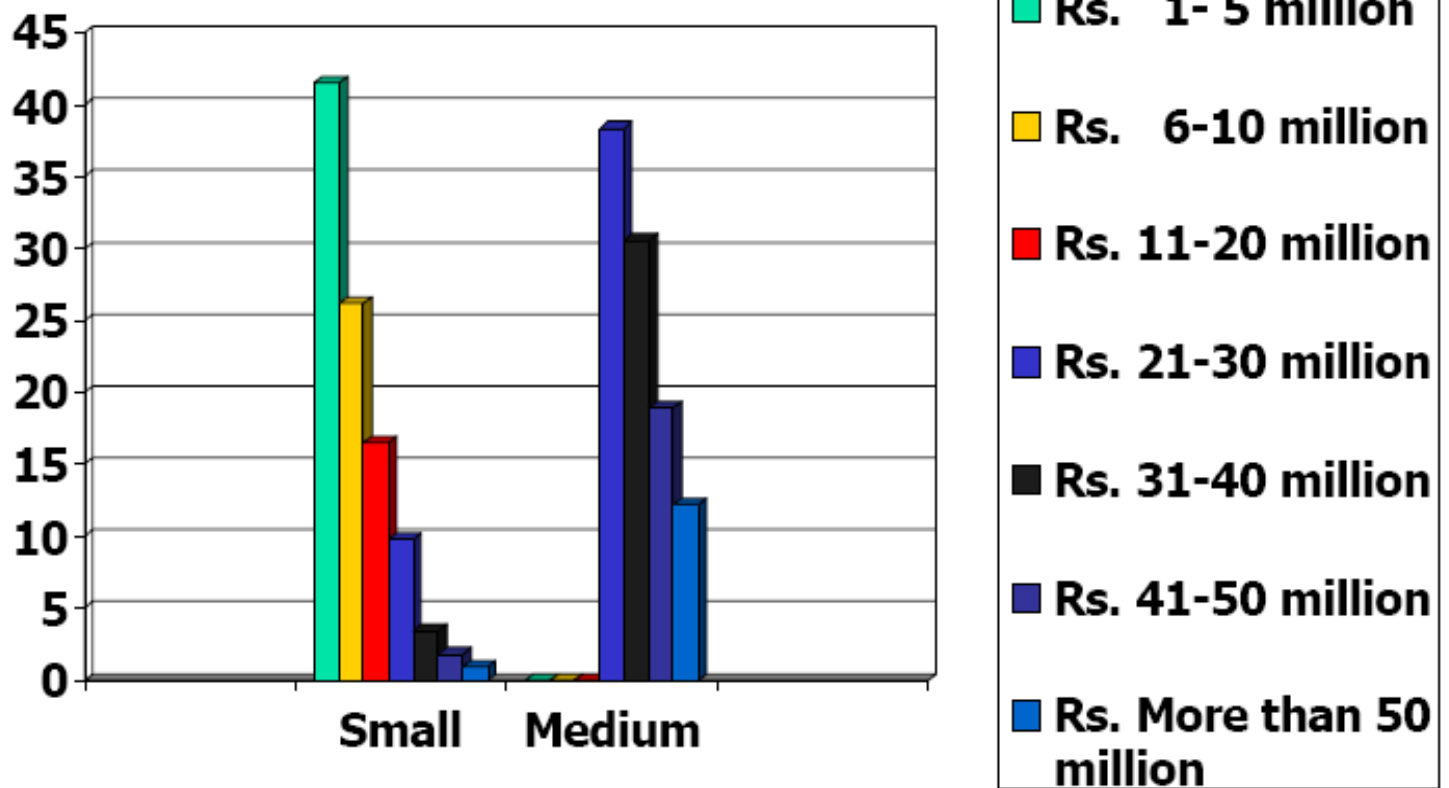
SMEs by Employment



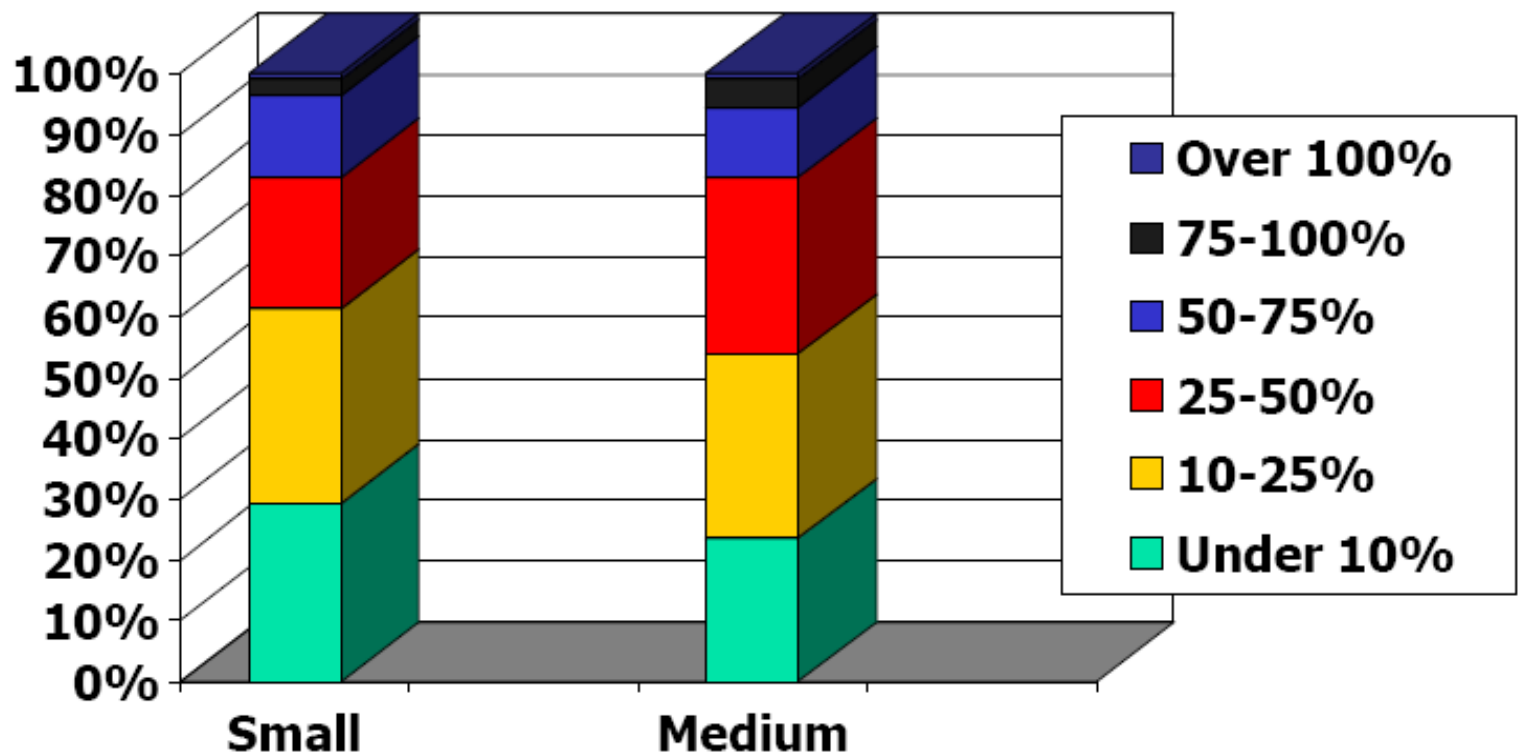
Business Assets – Excluding Land and Buildings



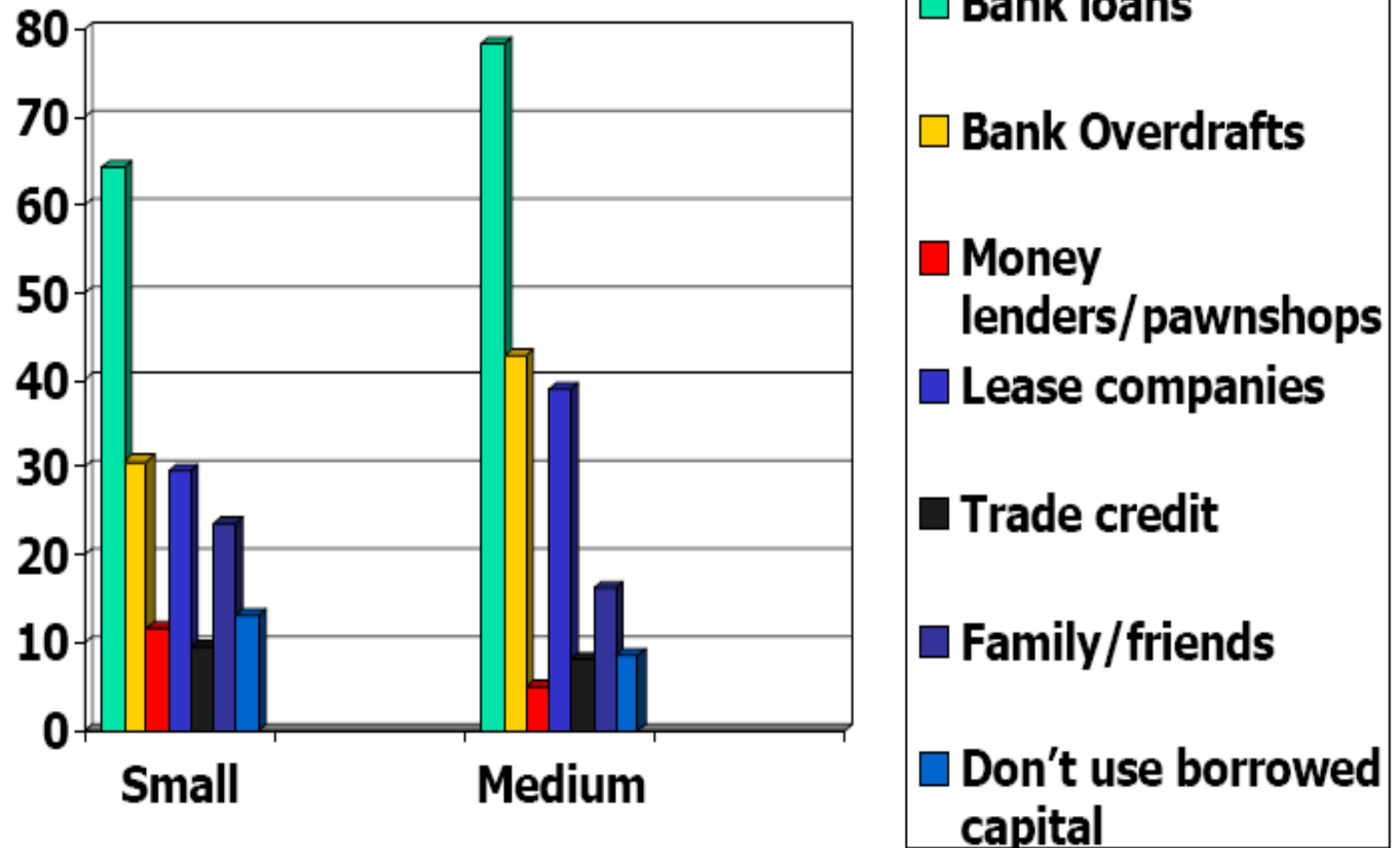
Business Assets- Including Land and Buildings



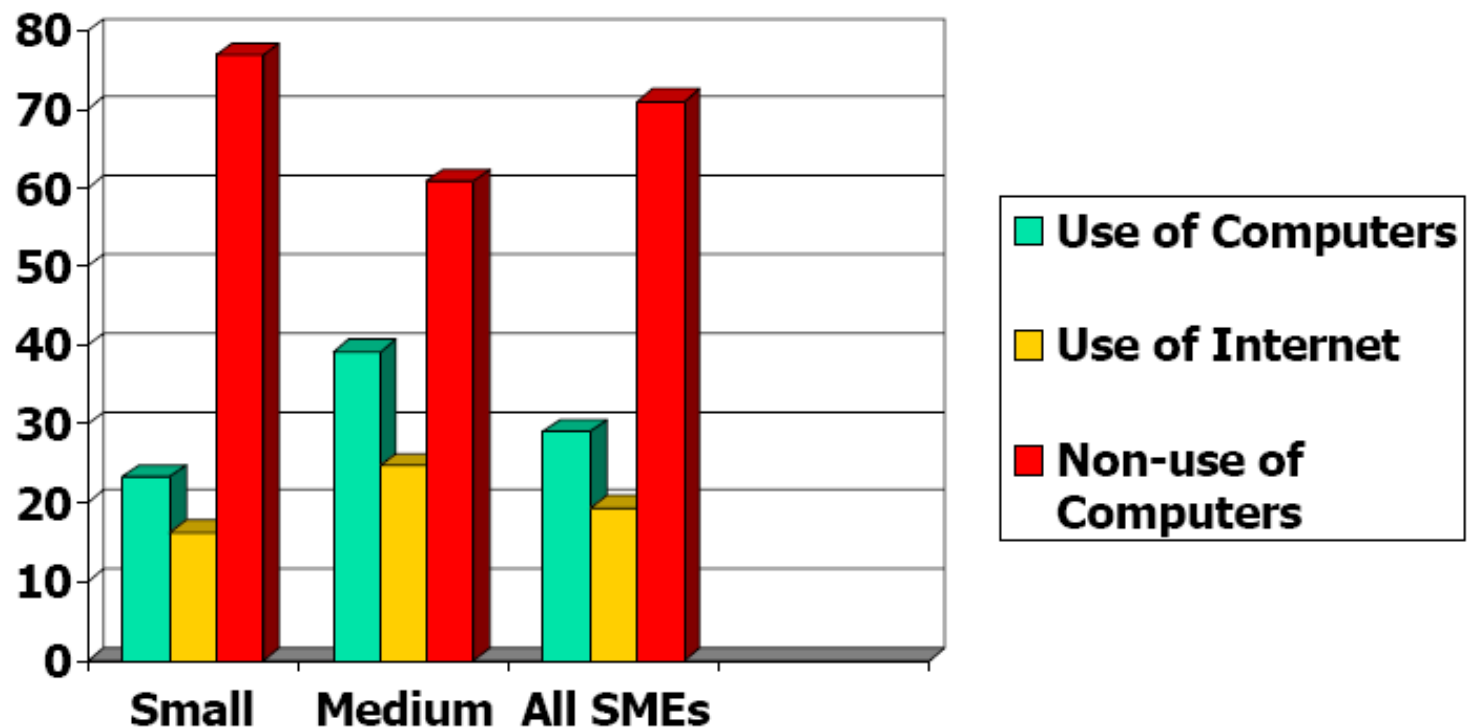
Business Liabilities as a percentage of Assets



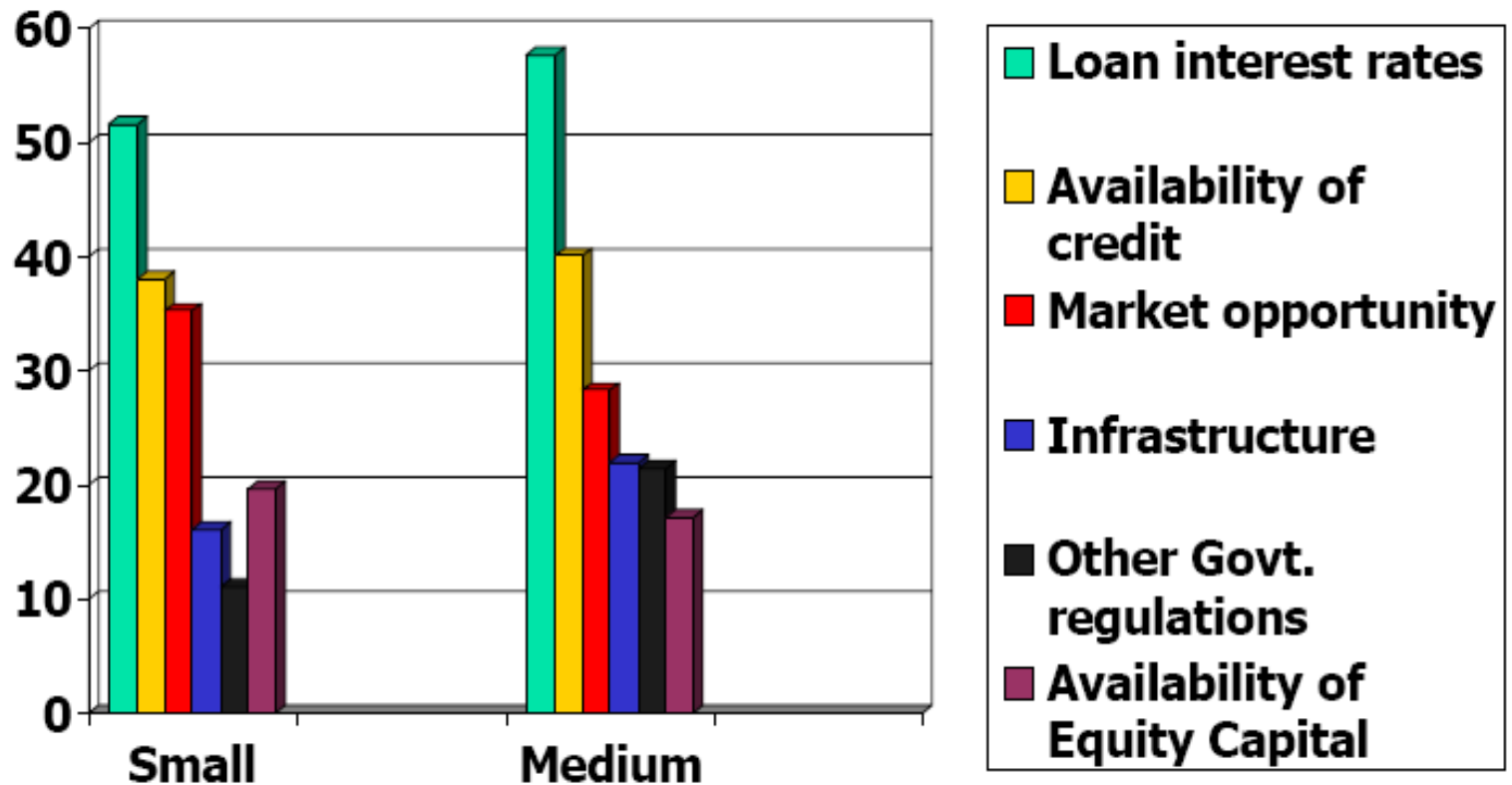
Sources of Borrowed Capital



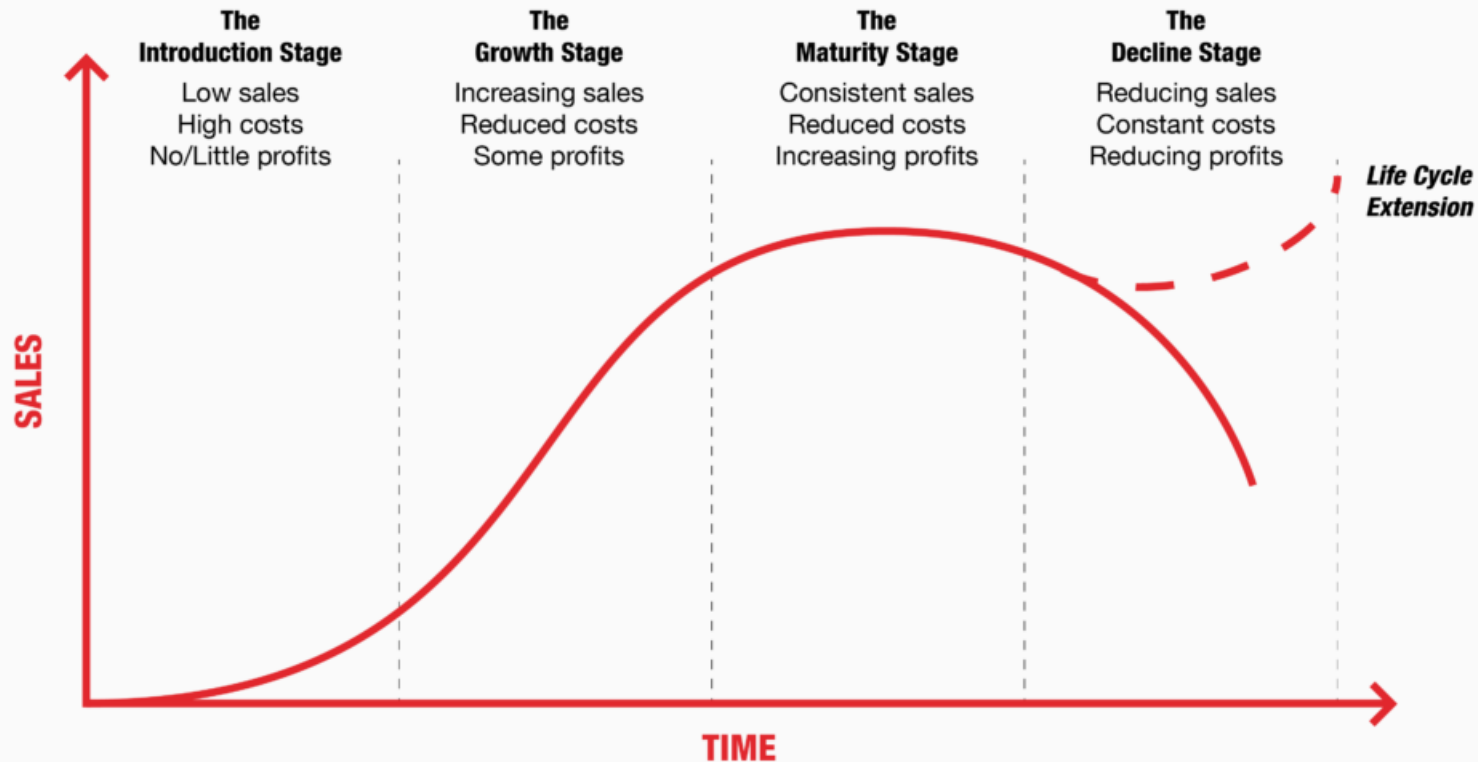
SME Use of Computers, Internet



Barriers Limiting Business Expansion/Productivity



Small Business Lifecycle -1/6



Small Business Lifecycle -2/6

0. Development / Seed Stage

- The development or seed stage is the beginning of the business lifecycle. This is when your brilliant idea is merely just a thought and will require a round of testing in its initial stage. In testing your business idea, you may conduct research regarding the industry, gather feedbacks from your friends, family, colleagues, or other industry specialists. This is when you are determining whether the business idea that you had is worth pursuing and if so it will be the birth of your new business.
- **Challenges**
- Business Idea Profitability
- Market Acceptance
- Establishing Business Structure
- Accounting Management

Small Business Lifecycle -3/6

1. Startup Stage

- You've decided that your business idea is worth pursuing and have now made your business entity legal. This is the true beginning of the 4 stages of business growth. In this stage, you've finished developing the products or services that your business has to offer and will begin marketing and selling. During this stage, you will be tweaking your products or services according to the initial feedback from your first paying customers and market demand. You will need to learn and adjust your business model to ensure profitability and that it meets your customer's expectations. By adjusting your business model, you'll be able to set your business on the right track.
- **Challenges**
 - Managing Cash Reserves
 - Managing Sales Expectations
 - Accounting Management
 - Establishing Customer Base
 - Establishing Market Presence

Small Business Lifecycle -4/6

2. Growth / Survival Stage

- Your business has endured through the initial phases of business development and is currently in its growth or survival stage. The business is consistently generating revenue and adding new customers. These recurring revenue will help pay for your operating expenses and open up new business opportunities. Currently, your business could be operating at a net loss or maintaining a healthy profit, but there could be some competition. This is also when you need to fine tune your business model and implement proven methodologies, sales model, marketing model, and operations model before expanding your venture for the mass market.
- **Challenges**
 - Dealing with Increasing Revenue
 - Dealing with Increasing Customers
 - Accounting Management
 - Effective Management
 - Market Competition

Small Business Lifecycle -5/6

3. Expansion / Rapid Growth Stage

- Your business has been a thriving company and established its presence in the industry. You have now reached the stage of the 4 stages of business growth in which your business will expand and spread its roots into new markets and distribution channels. In order to start capitalizing on the success of your business, you will need to capture a larger market share and find new revenue. Therefore your business will experience a rapid growth in revenue and cash flow. The rapid growth phases of business development takes advantage from the proven sales model, marketing model, and operations model set forth from your growth/survival stage.
- **Challenges**
 - Increasing Market Competition
 - Accounting Management
 - Moving into New Markets
 - Adding New Products/Services
 - Expanding Existing Business

Small Business Lifecycle -6/6

4. Maturity Stage

- After a successful expansion, your business is on top of its industry and has matured. At the final stage of the 4 stages of business growth, your business has a dominating presence in its market. Your business could still be growing but not at the substantial rate as you've previously experienced. Your current option is to decide to take a step back towards the expansion stage or to think of a possible exit strategy.
- **Challenges**
 - Increasing Market Competition
 - Accounting Management
 - Moving into New Markets
 - Adding New Products/Services
 - Expanding Existing Business
 - Exit Strategy
- Every stage of the 4 stages of business growth brings new or pre-existing challenges. Solutions that may have worked for one stage may not work in another stage, which is why you should always adjust your business plan and operations accordingly.

Thank you